EXECUTIVE SUMMARY

1. Introduction

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines through the leadership of Juan De Salcedo. It was discovered as tribal community together with the Municipality of Buguey. And in 1877, the virtue of Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P. It has 50 barangays and is classified as 1st class municipality with a land area of 70,750.

Scope of Audit

We conducted financial, compliance and value-for-money audit on the accounts and operations of the Municipality of Gattaran covering the period from January 1 to December 31, 2014. The audit consisted of review of local operating procedures, processes and practices being done by the agency, inspection of the Municipality's programs and projects/activities, interview with concerned officials/employees, verification, reconciliation and analysis of financial accounts and other audit procedures and techniques considered necessary under the circumstances.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

Particulars	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	₱ 195,942,627.52	172,874,738.39	₱23,067,889.13
Total Liabilities	₱ 39,957,976.42	36,818,403.16	₱ 3,139,573.26
Total Government Equity	₱ 157,622,900.99	122,776,893.03	₱34,846,007.96
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱163,947,191.98	144,986,833.53	₱18,960,358.45

Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	₱124,219,472.51	124,805,293.45	₱(585,820.94)

b) Appropriations, Allotments and Obligations:

Appropriations-Current	₱ 321,863,767.58	146,418,203.97	₱175,445,563.61
Appropriations-Continuing	₱ 3,580,453.90		₱ 3,580,453.90
Allotments - Current	₱ 321,863,767.58	146,418,203.97	₱175,445,563.61
Allotments - Continuing	₱ 3,580,453.90	0.00	₱ 3,580,453.90
Obligations - Current	₱ 267,266,496.92	133,898,785.04	₱133,367,711.88
Obligations - Continuing	₱ 3,579,126.17	0.00	₱ 3,579,126.17
	2014	**2013**	**Inc/(Dec.)**
Funds Received from Other Agencies			
NGA	₱ 10,854,728.43	₱ 7,180,098.81	₱ 3,674,629.62
LGUs	5,050,000.00	2,060,000.00	2,990,000.00
NGO/Pos	0.00	0.00	0.00
Others	1,617,500.00	0.00	1,617,500.00
Total	₱ 17,522,228.43	₱ 9,240,098.81	₱ 6,832,129.62
Funds Transferred to Other Agencies			
NGA	0.00	0.00	0.00
LGUs	0.00	0.00	0.00
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	0.00	0.00	0.00

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements due to (a) the effects on the non-preparation of bank reconciliation statements for CY 2014 rendering the Cash in Bank account balances of ₱49,913,048.86 could not be ascertained due to the non-preparation of bank reconciliation statements for CY 2014; (b) the recorded balances of the Inventories and Property, Plant and Equipment (PPE) with a total value of ₱509,901.24 and ₱138,790,951.43, respectively, were unreliable due to failure to reconcile with property records caused by the non-preparation and submission of the

Report on the Physical Count of Inventories and PPE; (c) unserviceable properties not transferred to Other Assets account valued atP1,136,418.75; (d) funds received from other sources of ₱7,690,286.80 was recorded as trust liabilities under the General Fund instead of Trust Fund; (e) balance of Local Risk Reduction and Management Fund of ₱8,424,669.44 not transferred to special trust fund; (f) salaries and wages of casual/contractual recorded under Maintenance and Other Operating Expenses (MOOE) instead of Personal Services; (g) balance of Advances to Officers and Employees under the General fund and Special Education Fund in the amount of ₱6144,338.41 and ₱329,481.41, respectively, are unreliable due to negative balances of some payees in the schedules; (h) and negative balances as of December 31, 2014 of Cash in Vault under Trust Fund and Due to GOCCs under General Fund in the amount of ₱45,963.50 and ₱23,142.25 which remain unadjusted as of year-end.

4. Summary of Significant Observations and Recommendations

a. The unutilized balances of Priority Development Assistance Fund (PDAF) and financial assistance from the Provincial Government in the total amount of ₱408,298.29 remained in the books for long time and not yet remitted to the Bureau of Treasury and to the source agency despite the purpose had already been accomplished.

We recommend the Local Chief Executive to direct the Municipal Treasurer and return the unutilized funds to the National Treasury and Provincial Government concerned agency to avoid misappropriation of the funds.

b. The barangays of the Municipality were deprive of additional funds for use in their operation due to failure of the Municipality to release the barangay's share on Real Property Tax totaling to ₱647,303.86.

We recommend that management instruct the Municipal Treasurer to remit the corresponding Barangays' shares of the 25% Real Property Tax collections to the 50 barangays. Henceforth, the Municipal Treasurer should adhere strictly to the provision of Section 271 (d) of R.A. 7160 on the release of RPT barangays' shares.

c. The school buildings constructed by the municipality in the total amount of ₱16,423,361.09 remained in the books due to failure of the municipality to transfer ownership to the recipient schools for proper accountability.

We recommend that the Local Chief Executive require the Property Officer/ Officer-in-Charge, General Services Office to prepare the necessary documents as basis of the Sangguniang Bayan to pass a resolution and execute Deed of Donation. This will be the basis of the Municipal Accountant to prepare Journal Entry Voucher (JEV) to record the transfer without cost to the recipient schools.

d. Collectors did not remit their collections regularly and intact due to laxity of the Municipal Treasurer/Liquidating Officer in requiring them to remit their collections resulting in the delay in the deposit ranging from 2 days to three

months and above reaching cash holdings in the amount of ₱31,465,257.51 and ₱1,077,014.69 under the General Fund and Special Education Fund, respectively.

Further, the Report of Collections & Deposits submitted by the individual collectors lacks the necessary data needed in recording in the books because said reports were not properly accomplished.

We recommend that the Municipal Treasurer require the designated liquidating officer to strictly follow the procedures in the submission of collection reports, turn-over of collections and verification of the accountable forms.

The Municipal Treasurer should strictly require the Liquidating Officer to submit duly accomplished collection reports and collections made by the collectors every end of the day. Assigned at least a responsible staff to crosscheck the amount remitted against the respective issued and balance of accountable forms, otherwise, issue demand letters to collectors who refuses to submit their reports of collections daily.

e. **Collections were not regularly deposited intact by the Municipal Treasurer to the Authorized Government Depository Bank (AGDB) holding huge amounts of collections on hand every end of each month resulting to un-deposited amount of ₱890,189.59 due to non-strict compliance of existing regulation and non-imposition of sanction to the Municipal Treasurer.**

We recommend that management require the Municipal Treasurer to deposit intact and regularly her collections pursuant to existing regulations to avoid possible misuse or misappropriation of the government funds.

f. **Funds held in trust amounting to ₱203,064.97 under trust fund was inadequate to cover up the trust liabilities totaling P622,068.72 due to utilization thereof for purposes other than what was intended for, resulting in cash deficit by ₱419,003.75.**

We recommend that management utilize the trust funds exclusively for its intended purpose to avoid incurrence of cash deficits. The Accountant should verify the causes of the deficits and make necessary adjustment in the books.

Likewise, the Municipal Treasurer is required to prepare Monthly Statement of Cash Flows in order to monitor the status on the utilization of funds as well as to determine immediately any discrepancy that causes deficit.

g. **Cash advances totaling to ₱1,386,107.74 still remained unliquidated at year-end due to failure of management to require concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances.**

Management should enforce the liquidation of outstanding cash advances. The Accountant should not allow the grant additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made.

h. There is an un-reconciled difference of ₱16,920,056.58 between the Statement of Appropriation, Allotment, Obligation and Balances (SAAOB) and the Statement of Income and Expenses in the General Fund & Special Education Fund due to failure of the Budget and Accounting Office to reconcile both records.

We recommend that the Accounting and Budget Offices reconcile periodically their records to ensure correctness of reported expenditures and obligations as at year end.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱276,038.71	₱4,880.00	₱0.00	₱280,918.71	₱0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱276,038.71	₱4,880.00	₱0.00	₱280,918.71	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 11 unimplemented audit recommendations embodied in the 2013 Annual Audit Report, two were fully implemented, three were partially implemented while the remaining six were not yet implemented.